

SEDACCA ACCOUNTANCY CORPORATION
11661 SAN VICENTE BLVD., SUITE 609
LOS ANGELES, CA 90049

SEPTEMBER 15, 2021

GRACE TOWNHOMES HOUSING, LLC
91-31 QUEENS BOULEVARD, SUITE 512
ELMHURST, NY 11373

GRACE TOWNHOMES HOUSING, LLC:

WE HAVE PREPARED AND ENCLOSED YOUR 2020 LIMITED LIABILITY
COMPANY RETURNS FOR THE YEAR ENDED DECEMBER 31, 2020.

THIS RETURN HAS BEEN PREPARED FOR ELECTRONIC FILING. IF YOU
WISH TO HAVE IT TRANSMITTED ELECTRONICALLY TO THE IRS, PLEASE
SIGN, DATE, AND RETURN FORM 8879-PE TO OUR OFFICE. WE WILL
THEN SUBMIT YOUR ELECTRONIC RETURN TO THE IRS. DO NOT MAIL
THE PAPER COPY OF THE RETURN TO THE IRS.

NO PAYMENT IS REQUIRED WITH THIS RETURN WHEN FILED.

THE NEW YORK FORM IT-204 RETURN HAS BEEN PREPARED FOR
ELECTRONIC FILING. IF YOU WISH TO HAVE IT TRANSMITTED
ELECTRONICALLY TO THE NYSDTF, PLEASE SIGN, DATE AND RETURN
FORM TR-579-PT TO OUR OFFICE. WE WILL THEN SUBMIT THE
ELECTRONIC RETURN TO THE NYSDTF. DO NOT MAIL A PAPER COPY OF
THE RETURN TO THE NYSDTF.

NO PAYMENT IS REQUIRED WITH THIS RETURN WHEN FILED.

THE TEXAS FORM 05-158-A/05-158-B AND 05-102 RETURN HAS BEEN
PREPARED FOR ELECTRONIC FILING. IF YOU WISH TO HAVE IT
TRANSMITTED ELECTRONICALLY TO THE TEXAS COMPTROLLER, PLEASE
CONTACT OUR OFFICE. WE WILL THEN SUBMIT YOUR ELECTRONIC
RETURN TO THE TEXAS COMPTROLLER. DO NOT MAIL THE PAPER COPY
OF THE RETURN TO THE TEXAS COMPTROLLER.

YOUR PAYMENT SHOULD BE MADE AS INSTRUCTED BELOW AS SOON AS
POSSIBLE.

ENCLOSE A CHECK OR MONEY ORDER FOR \$3,113.47, PAYABLE TO
TEXAS COMPTROLLER. WRITE YOUR FEIN AND THE TAX TYPE ON THE
CHECK. MAIL THE PAYMENT ALONG WITH FORM 05-170 TO:

TEXAS COMPTROLLER OF PUBLIC ACCTS
P.O. BOX 149348
AUSTIN, TX 78714-9348

ATTACHED ARE SCHEDULES K-1 FOR ALL MEMBERS INDICATING THEIR SHARE OF INCOME, DEDUCTIONS AND CREDITS TO BE REPORTED ON THEIR RESPECTIVE TAX RETURNS. THESE SCHEDULES SHOULD BE IMMEDIATELY FORWARDED TO EACH OF THE MEMBERS.

COPIES OF THE RETURNS ARE ENCLOSED FOR YOUR FILES. WE SUGGEST THAT YOU RETAIN THESE COPIES INDEFINITELY.

VERY TRULY YOURS,

JEFFREY SEDACCA

Two-Year Comparison - Partnership

2020

Name of partnership	Employer identification number
Grace Townhomes Housing, LLC	47-5360069

Description	Prior Year	Current Year	Increase (Decrease)
Number of partners	9.	10.	1.
SCHEDULE K:			
Income (Loss):			
Net income/loss from RRE activities	-150,525.	212,415.	362,940.
Interest income	667.	386.	-281.
Guaranteed payments to partners	114,800.	0.	-114,800.
Other deductions	0.	508.	508.
Investment Interest:			
Investment income	667.	386.	-281.
Adjustments and Tax Preferences:			
Depreciation adjustment	-42,532.	-37,172.	5,360.
Other:			
Other tax-exempt income	0.	24,860.	24,860.
Distributions of money	1,138,500.	114,365.	-1,024,135.
Other items and amounts	6,390,687.	5,702,093.	-688,594.
SCHEDULE M-1:			
Net income (loss) per books	-149,858.	237,153.	387,011.
Guaranteed payments	114,800.	0.	-114,800.
Total- net book inc through expense	-35,058.	237,153.	272,211.
Other book income not on Sch K	0.	24,860.	24,860.
Total- book inc through Sch K ded	0.	24,860.	24,860.
Income (loss)	-35,058.	212,293.	247,351.
SCHEDULE M-2:			
Capital at beginning of year	304,575.	-983,783.	-1,288,358.
Capital contributed during year	0.	28,730.	28,730.

2020

Name of partnership	Employer identification number
Grace Townhomes Housing, LLC	47-5360069

[illegible]

Texas	Property Apportionment Detail Worksheet	2020
Grace Townhomes Housing, LLC		47-5360069

	Within		Everywhere	
	Beginning of Year	End of Year	Beginning of Year	End of Year
Inventories				
Land	100,000.	100,000.	100,000.	100,000.
Buildings	4,082,097.	4,082,097.	4,082,097.	4,082,097.
Buildings - accumulated depreciation				
Machinery				
Equipment	709,171.	709,171.	709,171.	709,171.
Machinery and equipment - accumulated depreciation				
Furniture and fixtures				
Furniture and fixtures - accumulated depreciation				
Transportation/delivery equipment				
Transportation/delivery equipment - accumulated depreciation				
Other depreciable assets	384,403.	384,403.	384,403.	384,403.
Other depreciable assets - accumulated depreciation				
Depletable assets				
Depletable assets - accumulated depletion				
Leasehold improvements				
Leasehold improvements - accumulated amortization				
Supplies				
Other tangible property				
Buildings - construction in progress				
Machinery - construction in progress				
Equipment - construction in progress				
Transportation/delivery - construction in progress				
Other - construction in progress				
Less: Total construction in progress				
Miscellaneous other				
Subtotals	5,275,671.	5,275,671.	5,275,671.	5,275,671.
Average property		5,275,671.		5,275,671.
Real property rented - rental expense (multiplied by applicable factor)				
Tangible property rented - rental expense (multiplied by applicable factor)				
Miscellaneous rental expense (multiplied by applicable factor)				
Total property		5,275,671.		5,275,671.

* - Not Applicable

New York	Payroll and Sales Apportionment Detail Worksheet	2020
Grace Townhomes Housing, LLC		47-5360069

Payroll Apportionment

Cost of goods sold

Cost of operations

Compensation of officers

Salesmen's salaries

Salesmen's commissions

General and administrative wages and salaries

Repairs

Others

Miscellaneous other

Total payroll

Within	Everywhere
0.	81,312.
0.	81,312.

Sales Apportionment

Sales of tangible personal property

- Returns and allowances

Sales from outside the state to within the state

Sales from within the state to within the state

Sales from within the state to U.S. government

Sales from within the state to nontaxable jurisdictions

Interest

Dividends

Rents

Royalties

Gain from sales of real and tangible personal property

Gain from sales of intangibles

Service income

Other receipts

Miscellaneous other

Total sales

Within	Everywhere
0.	1,373,771.
0.	40,972.
0.	1,414,743.

* - Not Applicable

Texas	Payroll and Sales Apportionment Detail Worksheet	2020
Grace Townhomes Housing, LLC		47-5360069

Payroll Apportionment

	Within	Everywhere
Cost of goods sold		
Cost of operations		
Compensation of officers		
Salesmen's salaries		
Salesmen's commissions		
General and administrative wages and salaries	81,312.	81,312.
Repairs		
Others		
Miscellaneous other		
Total payroll	81,312.	81,312.

Sales Apportionment

	Within	Everywhere
Sales of tangible personal property		
- Returns and allowances		
Sales from outside the state to within the state		
Sales from within the state to within the state		
Sales from within the state to U.S. government		
Sales from within the state to nontaxable jurisdictions		
Interest	386.	386.
Dividends		
Rents	1,373,771.	1,373,771.
Royalties		
Gain from sales of real and tangible personal property		
Gain from sales of intangibles		
Service income		
Other receipts	40,972.	40,972.
Miscellaneous other		
Total sales	1,415,129.	1,415,129.

* - Not Applicable

Sales Factor	Apportionment Summary Worksheet			2020
Grace Townhomes Housing, LLC			47-5360069	
	Within	Everywhere	Unweighted	Weighted
Alabama				
Alaska				
Arizona				
Arkansas				
California				
Colorado				
Connecticut				
Delaware				
District of Columbia				
Florida				
Georgia				
Hawaii				
Idaho				
Illinois				
Indiana				
Iowa				
Kansas				
Kentucky				
Louisiana				
Maine				
Maryland				
Massachusetts				
Michigan				
Minnesota				
Mississippi				
Missouri				
Montana				
Nebraska				
Nevada				
New Hampshire				
New Jersey				
New Mexico				
New York				
North Carolina				
North Dakota				
Ohio				
Oklahoma				
Oregon				
Pennsylvania				
Rhode Island				
South Carolina				
South Dakota				
Tennessee				
Texas	1,415,129.	1,415,129.	1.000000	1.000000
Utah				
Vermont				
Virginia				
Washington				
West Virginia				
Wisconsin				
Wyoming				
Foreign				
Other				
Total	N/A	N/A	N/A	1.000000

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Sales Factor	Apportionment Summary Worksheet (Continued)	2020
Grace Townhomes Housing, LLC		47-5360069

	Within	Everywhere	Unweighted	Weighted
* Albion				
* Battle Creek				
* Benton Harbor				
* Big Rapids				
* Detroit				
* East Lansing				
* Flint				
* Grand Rapids				
* Grayling				
* Hamtramck				
* Highland Park				
* Hudson				
* Ionia				
* Jackson				
* Lansing				
* Lapeer				
* Muskegon				
* Muskegon Heights				
* Pontiac				
* Port Huron				
* Portland				
* Saginaw				
* Springfield				
* Walker				
* New York City				
* New York - MCTD				

* Not included in everywhere totals

Summary	Apportionment Summary Worksheet			2020
Grace Townhomes Housing, LLC			47-5360069	
Summary of Factors	Property	Payroll	Sales	Apportionment
Alabama				
Alaska				
Arizona				
Arkansas				
California				
Colorado				
Connecticut				
Delaware				
District of Columbia				
Florida				
Georgia				
Hawaii				
Idaho				
Illinois				
Indiana				
Iowa				
Kansas				
Kentucky				
Louisiana				
Maine				
Maryland				
Massachusetts				
Michigan				
Minnesota				
Mississippi				
Missouri				
Montana				
Nebraska				
Nevada				
New Hampshire				
New Jersey				
New Mexico				
New York				
North Carolina				
North Dakota				
Ohio				
Oklahoma				
Oregon				
Pennsylvania				
Rhode Island				
South Carolina				
South Dakota				
Tennessee				
Texas			1.000000	1.000000
Utah				
Vermont				
Virginia				
Washington				
West Virginia				
Wisconsin				
Wyoming				
Foreign				
Other				
Total			1.000000	1.000000

Summary	Apportionment Summary Worksheet (Continued)	2020
Grace Townhomes Housing, LLC		47-5360069

Summary of Factors	Property	Payroll	Sales	Apportionment
* Albion				
* Battle Creek				
* Benton Harbor				
* Big Rapids				
* Detroit				
* East Lansing				
* Flint				
* Grand Rapids				
* Grayling				
* Hamtramck				
* Highland Park				
* Hudson				
* Ionia				
* Jackson				
* Lansing				
* Lapeer				
* Muskegon				
* Muskegon Heights				
* Pontiac				
* Port Huron				
* Portland				
* Saginaw				
* Springfield				
* Walker				
* New York City				
* New York - MCTD				

* Not included in everywhere totals

Form **8879-PE**Department of the Treasury
Internal Revenue Service**IRS e-file Signature Authorization
for Form 1065**

▶ ERO must obtain and retain completed Form 8879-PE.

▶ Go to www.irs.gov/Form8879PE for the latest information.

For calendar year 2020, or tax year beginning

, 2020, ending

, 20

OMB No. 1545-0123

2020

Name of partnership

Grace Townhomes Housing, LLC

Employer identification number

47-5360069**Part I Tax Return Information** (Whole dollars only)

1	Gross receipts or sales less returns and allowances (Form 1065, line 1c)	1	
2	Gross profit (Form 1065, line 3)	2	
3	Ordinary business income (loss) (Form 1065, line 22)	3	
4	Net rental real estate income (loss) (Form 1065, Schedule K, line 2)	4	212,415.
5	Other net rental income (loss) (Form 1065, Schedule K, line 3c)	5	

Part II Declaration and Signature Authorization of Partner or Member
(Be sure to get a copy of the partnership's return.)

Under penalties of perjury, I declare that I am a partner or member of the above partnership and that I have examined a copy of the partnership's 2020 electronic return of partnership income and accompanying schedules and statements and to the best of my knowledge and belief, it is true, correct, and complete. I further declare that the amounts in Part I above are the amounts shown on the copy of the partnership's electronic return of partnership income. I consent to allow my electronic return originator (ERO), transmitter, or intermediate service provider to send the partnership's return to the IRS and to receive from the IRS (a) an acknowledgement of receipt or reason for rejection of the transmission and (b) the reason for any delay in processing the return. I have selected a personal identification number (PIN) as my signature for the partnership's electronic return of partnership income.

Partner's or Member's PIN: check one box only

☒ I authorize **SEDACCA ACCOUNTANCY CORPORATION** to enter my PIN **11661**
ERO firm name Don't enter all zeros

as my signature on the partnership's 2020 electronically filed return of partnership income.

☐ As a partner or member of the partnership, I will enter my PIN as my signature on the partnership's 2020 electronically filed return of partnership income.

Partner's or member's signature ▶

Title ▶ **MANAGER**

Date ▶

Part III Certification and Authentication

ERO's EFIN/PIN. Enter your six-digit EFIN followed by your five-digit self-selected PIN.

95385211661

Don't enter all zeros

I certify that the above numeric entry is my PIN, which is my signature on the 2020 electronically filed return of partnership income for the partnership indicated above. I confirm that I am submitting this return in accordance with the requirements of **Pub. 3112**, IRS e-file Application and Participation, and **Pub. 4163**, Modernized e-File (MeF) Information for Authorized IRS e-file Providers for Business Returns.

ERO's signature ▶

Date ▶

ERO Must Retain This Form - See Instructions
Don't Submit This Form to the IRS Unless Requested To Do So

For Paperwork Reduction Act Notice, see instructions.

Form **8879-PE** (2020)

LHA

**Application for Automatic Extension of Time To File Certain
Business Income Tax, Information, and Other Returns**
▶ **File a separate application for each return.**
▶ **Go to www.irs.gov/Form7004 for instructions and the latest information.**

OMB No. 1545-0233

Print or Type	Name Grace Townhomes Housing, LLC	Identifying number 47-5360069
	Number, street, and room or suite no. (If P.O. box, see instructions.) 91-31 Queens Boulevard, Suite 512	
	City, town, state, and ZIP code (If a foreign address, enter city, province or state, and country (follow the country's practice for entering postal code).) Elmhurst, NY 11373	

Note: File request for extension by the due date of the return. See instructions before completing this form.

Part I Automatic Extension for Certain Business Income Tax, Information, and Other Returns. See instructions.

1 Enter the form code for the return listed below that this application is for 09

Application Is For:	Form Code	Application Is For:	Form Code
Form 706-GS(D)	01	Form 1120-ND (section 4951 taxes)	20
Form 706-GS(T)	02	Form 1120-PC	21
Form 1041 (bankruptcy estate only)	03	Form 1120-POL	22
Form 1041 (estate other than a bankruptcy estate)	04	Form 1120-REIT	23
Form 1041 (trust)	05	Form 1120-RIC	24
Form 1041-N	06	Form 1120S	25
Form 1041-QFT	07	Form 1120-SF	26
Form 1042	08	Form 3520-A	27
Form 1065	09	Form 8612	28
Form 1066	11	Form 8613	29
Form 1120	12	Form 8725	30
Form 1120-C	34	Form 8804	31
Form 1120-F	15	Form 8831	32
Form 1120-FSC	16	Form 8876	33
Form 1120-H	17	Form 8924	35
Form 1120-L	18	Form 8928	36
Form 1120-ND	19		

Part II All Filers Must Complete This Part

- 2** If the organization is a foreign corporation that does not have an office or place of business in the United States, check here ☐
- 3** If the organization is a corporation and is the common parent of a group that intends to file a consolidated return, check here ☐
If checked, attach a statement listing the name, address, and employer identification number (EIN) for each member covered by this application.
- 4** If the organization is a corporation or partnership that qualifies under Regulations section 1.6081-5, check here ☐
- 5a** The application is for calendar year 2020, or tax year beginning _____, and ending _____
- b Short tax year.** If this tax year is less than 12 months, check the reason: ☐ Initial return ☐ Final return
☐ Change in accounting period ☐ Consolidated return to be filed ☐ Other (See instructions - attach explanation.)

6 Tentative total tax	6	0.
7 Total payments and credits. See instructions	7	
8 Balance due. Subtract line 7 from line 6. See instructions	8	

LHA For Privacy Act and Paperwork Reduction Act Notice, see separate instructions.

Form **7004** (Rev. 12-2018)

Extension Granted to 09/15/21
U.S. Return of Partnership Income

OMB No. 1545-0123

For calendar year 2020, or tax year beginning _____, ending _____
▶ Go to www.irs.gov/Form1065 for instructions and the latest information.

2020

A Principal business activity	Type or Print	Name of partnership Grace Townhomes Housing, LLC Number, street, and room or suite no. If a P.O. box, see instructions. 91-31 Queens Boulevard, Suite 512 City or town, state or province, country, and ZIP or foreign postal code Elmhurst NY 11373	D Employer identification number 47-5360069
Real Estate	Type or Print		E Date business started 12/17/2015
B Principal product or service Residential Lessor			F Total assets \$ 4,482,807.
C Business code number 531110			

G Check applicable boxes: (1) ☐ Initial return (2) ☐ Final return (3) ☐ Name change (4) ☐ Address change (5) ☐ Amended return

H Check accounting method: (1) ☐ Cash (2) ☒ Accrual (3) ☐ Other (specify) ▶

I Number of Schedules K-1. Attach one for each person who was a partner at any time during the tax year ▶ **10**

J Check if Schedules C and M-3 are attached ▶ ☐

K Check if partnership: (1) ☐ Aggregated activities for section 465 at-risk purposes (2) ☐ Grouped activities for section 469 passive activity purposes

Caution: Include **only** trade or business income and expenses on lines 1a through 22 below. See instructions for more information.

Income	1 a	Gross receipts or sales	1a		
	1 b	Returns and allowances	1b		
		c Balance. Subtract line 1b from line 1a		1c	
	2	Cost of goods sold (attach Form 1125-A)		2	
	3	Gross profit. Subtract line 2 from line 1c		3	
	4	Ordinary income (loss) from other partnerships, estates, and trusts (attach statement)		4	
	5	Net farm profit (loss) (attach Schedule F (Form 1040))		5	
	6	Net gain (loss) from Form 4797, Part II, line 17 (attach Form 4797)		6	
Deductions (see instructions for limitations)	7	Other income (loss) (attach statement)		7	
	8	Total income (loss). Combine lines 3 through 7		8	
	9	Salaries and wages (other than to partners) (less employment credits)		9	
	10	Guaranteed payments to partners		10	
	11	Repairs and maintenance		11	
	12	Bad debts		12	
	13	Rent		13	
	14	Taxes and licenses		14	
	15	Interest (see instructions)		15	
	16 a	Depreciation (if required, attach Form 4562)	16a		
	16 b	Less depreciation reported on Form 1125-A and elsewhere on return	16b		
	16 c		16c		
Tax and Payments	17	Depletion (Do not deduct oil and gas depletion.)		17	
	18	Retirement plans, etc.		18	
	19	Employee benefit programs		19	
	20	Other deductions (attach statement)		20	
	21	Total deductions. Add the amounts shown in the far right column for lines 9 through 20		21	
	22	Ordinary business income (loss). Subtract line 21 from line 8		22	0.
	23	Interest due under the look-back method-completed long-term contracts (attach Form 8697)		23	
	24	Interest due under the look-back method-income forecast method (attach Form 8866)		24	
	25	BBA AAR imputed underpayment (see instructions)		25	
	26	Other taxes (see instructions)		26	
27	Total balance due. Add lines 23 through 26		27		
28	Payment (see instructions)		28		
29	Amount owed. If line 28 is smaller than line 27, enter amount owed		29		
30	Overpayment. If line 28 is larger than line 27, enter overpayment		30		

Sign Here Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than partner or limited liability company member) is based on all information of which preparer has any knowledge.

▶ Signature of partner or limited liability company member ▶ Date

May the IRS discuss this return with the preparer shown below? See instr. ☒ **Yes** ☐ **No**

Paid Preparer Use Only	Print/Type preparer's name Jeffrey Sedacca	Preparer's signature	Date	Check ☐ if self-employed	PTIN P00640179
	Firm's name ▶ SEDACCA ACCOUNTANCY CORPORATION				Firm's EIN ▶ 95-4744428
	Firm's address ▶ 11661 SAN VICENTE BLVD., SUITE 609 LOS ANGELES, CA 90049				Phone no. (310) 820-3040

Schedule B Other Information

1 What type of entity is filing this return? Check the applicable box:	Yes	No
a ☐ Domestic general partnership		
b ☐ Domestic limited partnership		
c ☒ Domestic limited liability company		
d ☐ Domestic limited liability partnership		
e ☐ Foreign partnership		
f ☐ Other ►		

2 At the end of the tax year:	Yes	No
a Did any foreign or domestic corporation, partnership (including any entity treated as a partnership), trust, or tax-exempt organization, or any foreign government own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital of the partnership? For rules of constructive ownership, see instructions. If "Yes," attach Schedule B-1, Information on Partners Owning 50% or More of the Partnership		X
b Did any individual or estate own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital of the partnership? For rules of constructive ownership, see instructions. If "Yes," attach Schedule B-1, Information on Partners Owning 50% or More of the Partnership		X

3 At the end of the tax year, did the partnership:	Yes	No
a Own directly 20% or more, or own, directly or indirectly, 50% or more of the total voting power of all classes of stock entitled to vote of any foreign or domestic corporation? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (iv) below		X

(i) Name of Corporation	(ii) Employer Identification Number (if any)	(iii) Country of Incorporation	(iv) Percentage Owned in Voting Stock

b Own directly an interest of 20% or more, or own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital in any foreign or domestic partnership (including an entity treated as a partnership) or in the beneficial interest of a trust? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below	Yes	No
		X

(i) Name of Entity	(ii) Employer Identification Number (if any)	(iii) Type of Entity	(iv) Country of Organization	(v) Maximum Percentage Owned in Profit, Loss, or Capital

4 Does the partnership satisfy all four of the following conditions?	Yes	No
a The partnership's total receipts for the tax year were less than \$250,000.		
b The partnership's total assets at the end of the tax year were less than \$ 1 million.		
c Schedules K-1 are filed with the return and furnished to the partners on or before the due date (including extensions) for the partnership return.		
d The partnership is not filing and is not required to file Schedule M-3 If "Yes," the partnership is not required to complete Schedules L, M-1, and M-2; item F on page 1 of Form 1065; or item L on Schedule K-1.		X

5 Is this partnership a publicly traded partnership, as defined in section 469(k)(2)?	Yes	No
		X

6 During the tax year, did the partnership have any debt that was canceled, was forgiven, or had the terms modified so as to reduce the principal amount of the debt?	Yes	No
		X

7 Has this partnership filed, or is it required to file, Form 8918, Material Advisor Disclosure Statement, to provide information on any reportable transaction?	Yes	No
		X

8 At any time during calendar year 2020, did the partnership have an interest in or a signature or other authority over a financial account in a foreign country (such as a bank account, securities account, or other financial account)? See instructions for exceptions and filing requirements for FinCEN Form 114, Report of Foreign Bank and Financial Accounts (FBAR). If "Yes," enter the name of the foreign country ►	Yes	No
		X

9 At any time during the tax year, did the partnership receive a distribution from, or was it the grantor of, or transferor to, a foreign trust? If "Yes," the partnership may have to file Form 3520, Annual Return To Report Transactions With Foreign Trusts and Receipt of Certain Foreign Gifts. See instructions	Yes	No
		X

10 a Is the partnership making, or had it previously made (and not revoked), a section 754 election? See instructions for details regarding a section 754 election.	Yes	No
	X	
b Did the partnership make for this tax year an optional basis adjustment under section 743(b) or 734(b)? If "Yes," attach a statement showing the computation and allocation of the basis adjustment. See instructions		X

Schedule B Other Information (continued)

	Yes	No
c Is the partnership required to adjust the basis of partnership assets under section 743(b) or 734(b) because of a substantial built-in loss (as defined under section 743(d)) or substantial basis reduction (as defined under section 734(d))? If "Yes," attach a statement showing the computation and allocation of the basis adjustment. See instructions		X
11 Check this box if, during the current or prior tax year, the partnership distributed any property received in a like-kind exchange or contributed such property to another entity (other than disregarded entities wholly owned by the partnership throughout the tax year) ☐		
12 At any time during the tax year, did the partnership distribute to any partner a tenancy-in-common or other undivided interest in partnership property?		X
13 If the partnership is required to file Form 8858, Information Return of U.S. Persons With Respect To Foreign Disregarded Entities (FDEs) and Foreign Branches (FBs), enter the number of Forms 8858 attached. See instructions		
14 Does the partnership have any foreign partners? If "Yes," enter the number of Forms 8805, Foreign Partner's Information Statement of Section 1446 Withholding Tax, filed for this partnership		X
15 Enter the number of Forms 8865, Return of U.S. Persons With Respect to Certain Foreign Partnerships, attached to this return		
16 a Did you make any payments in 2020 that would require you to file Form(s) 1099? See instructions	X	
b If "Yes," did you or will you file required Form(s) 1099?	X	
17 Enter the number of Forms 5471, Information Return of U.S. Persons With Respect To Certain Foreign Corporations, attached to this return		
18 Enter the number of partners that are foreign governments under section 892		
19 During the partnership's tax year, did the partnership make any payments that would require it to file Form 1042 and 1042-S under chapter 3 (sections 1441 through 1464) or chapter 4 (sections 1471 through 1474)?		X
20 Was the partnership a specified domestic entity required to file Form 8938 for the tax year? See the Instructions for Form 8938...		X
21 Is the partnership a section 721(c) partnership, as defined in Regulations section 1.721(c)-1(b)(14)?		X
22 During the tax year, did the partnership pay or accrue any interest or royalty for which one or more partners are not allowed a deduction under section 267A? See instructions		X
If "Yes," enter the total amount of the disallowed deductions ▶ \$		
23 Did the partnership have an election under section 163(j) for any real property trade or business or any farming business in effect during the tax year? See instructions		X
24 Does the partnership satisfy one or more of the following? See instructions		X
a The partnership owns a pass-through entity with current, or prior year carryover, excess business interest expense.		
b The partnership's aggregate average annual gross receipts (determined under section 448(c)) for the 3 tax years preceding the current tax year are more than \$26 million and the partnership has business interest.		
c The partnership is a tax shelter (see instructions) and the partnership has business interest expense.		
If "Yes" to any, complete and attach Form 8990.		
25 Is the partnership electing out of the centralized partnership audit regime under section 6221(b)? See instructions		X
If "Yes," the partnership must complete Schedule B-2 (Form 1065). Enter the total from Schedule B-2, Part III, line 3		
If "No," complete Designation of Partnership Representative below.		

Designation of Partnership Representative (see instructions)

Enter below the information for the partnership representative (PR) for the tax year covered by this return.

Name of PR ▶ **Affordable Rent Project Inc, c/o Caldwell**U.S. address of PR ▶ **4500 Park Granada, Suite 201
Calabasas, CA 91302**U.S. phone number of PR ▶ **(818) 992-2921**If the PR is an entity, name of the designated individual for the PR ▶ **Thomas Caldwell**U.S. address of designated individual ▶ **21900 Burbank Boulevard, 3rd Floor
Woodland Hills, CA 91367**U.S. phone number of designated individual ▶ **(818) 992-2921**

26 Is the partnership attaching Form 8996 to certify as a Qualified Opportunity Fund?		X
If "Yes," enter the amount from Form 8996, line 16 ▶ \$		
27 Enter the number of foreign partners subject to section 864(c)(8) as a result of transferring all or a portion of an interest in the partnership or of receiving a distribution from the partnership		
28 At any time during the tax year, were there any transfers between the partnership and its partners subject to the disclosure requirements of Regulations section 1.707-8?		X
29 Since December 22, 2017, did a foreign corporation directly or indirectly acquire substantially all of the properties constituting a trade or business of your partnership, and was the ownership percentage (by vote or value) for purposes of section 7874 greater than 50% (for example, the partners held more than 50% of the stock of the foreign corporation)? If "Yes," list the ownership percentage by vote and by value. See instructions.		
Percentage:	By Vote	By Value
		X

Schedule K Partners' Distributive Share Items		Total amount	
Income (Loss)	1 Ordinary business income (loss) (page 1, line 22)	1	0.
	2 Net rental real estate income (loss) (attach Form 8825) See Statement 2	2	212,415.
	3a Other gross rental income (loss)	3a	
	b Expenses from other rental activities (attach statement)	3b	
	c Other net rental income (loss). Subtract line 3b from line 3a	3c	
	4 Guaranteed payments: a Services 4a b Capital 4b	4c	
	c Total. Add lines 4a and 4b	4c	
	5 Interest income See Statement 3	5	386.
	6 Dividends and dividend equivalents: a Ordinary dividends	6a	
	b Qualified dividends 6b c Dividend equivalents 6c	6c	
	7 Royalties	7	
8 Net short-term capital gain (loss) (attach Schedule D (Form 1065))	8		
9a Net long-term capital gain (loss) (attach Schedule D (Form 1065))	9a		
b Collectibles (28%) gain (loss)	9b		
c Unrecaptured section 1250 gain (attach statement)	9c		
10 Net section 1231 gain (loss) (attach Form 4797)	10		
11 Other income (loss) (see instructions) Type ▶	11		
Deductions	12 Section 179 deduction (attach Form 4562)	12	
	13a Contributions	13a	
	b Investment interest expense	13b	
	c Section 59(e)(2) expenditures: (1) Type ▶ (2) Amount ▶	13c(2)	
d Other deductions (see instructions) Type ▶ See Statement 4	13d	508.	
Self-Employment	14a Net earnings (loss) from self-employment	14a	0.
	b Gross farming or fishing income	14b	
	c Gross nonfarm income	14c	
Credits	15a Low-income housing credit (section 42(j)(5))	15a	
	b Low-income housing credit (other)	15b	
	c Qualified rehabilitation expenditures (rental real estate) (attach Form 3468, if applicable)	15c	
	d Other rental real estate credits (see instructions) Type ▶	15d	
	e Other rental credits (see instructions) Type ▶	15e	
	f Other credits (see instructions) Type ▶	15f	
Foreign Transactions	16a Name of country or U.S. possession ▶		
	b Gross income from all sources	16b	
	c Gross income sourced at partner level	16c	
	Foreign gross income sourced at partnership level		
	d Reserved for future use ▶ e Foreign branch category ▶	16e	
	f Passive category ▶ g General category ▶ h Other ▶	16h	
	Deductions allocated and apportioned at partner level		
	i Interest expense ▶ j Other ▶	16j	
	Deductions allocated and apportioned at partnership level to foreign source income		
	k Reserved for future use ▶ l Foreign branch category ▶	16l	
	m Passive category ▶ n General category ▶ o Other ▶	16o	
	p Total foreign taxes (check one): Paid ☐ Accrued ☐	16p	
	q Reduction in taxes available for credit (attach statement)	16q	
r Other foreign tax information (attach statement)			
Alternative Minimum Tax (AMT) items	17a Post-1986 depreciation adjustment	17a	-37,172.
	b Adjusted gain or loss	17b	
	c Depletion (other than oil and gas)	17c	
	d Oil, gas, and geothermal properties - gross income	17d	
	e Oil, gas, and geothermal properties - deductions	17e	
	f Other AMT items (attach statement)	17f	
Other Information	18a Tax-exempt interest income	18a	
	b Other tax-exempt income See Statement 5	18b	24,860.
	c Nondeductible expenses	18c	
	19a Distributions of cash and marketable securities	19a	114,365.
	b Distributions of other property	19b	
	20a Investment income	20a	386.
b Investment expenses	20b		
c Other items and amounts (attach statement) Stmt. 6			

Analysis of Net Income (Loss)

1 Net income (loss). Combine Schedule K, lines 1 through 11. From the result, subtract the sum of Schedule K, lines 12 through 13d, and 16p						1	212,293.
2 Analysis by partner type:	(i) Corporate	(ii) Individual (active)	(iii) Individual (passive)	(iv) Partnership	(v) Exempt Organization	(vi) Nominee/Other	
a General partners							
b Limited partners			62,201.	50,724.			99,368.

Schedule L Balance Sheets per Books

Assets	Beginning of tax year		End of tax year	
	(a)	(b)	(c)	(d)
1 Cash		88,447.		329,398.
2a Trade notes and accounts receivable				
b Less allowance for bad debts				
3 Inventories				
4 U.S. government obligations				
5 Tax-exempt securities				
6 Other current assets (attach statement)	Statement 8	303,510.		350,054.
7a Loans to partners (or persons related to partners)		33,825.		33,825.
b Mortgage and real estate loans				
8 Other investments (attach statement)				
9a Buildings and other depreciable assets	5,175,671.		5,189,721.	
b Less accumulated depreciation	1,351,347.	3,824,324.	1,591,909.	3,597,812.
10a Depletable assets				
b Less accumulated depletion				
11 Land (net of any amortization)		100,000.		100,315.
12a Intangible assets (amortizable only)	80,426.		84,156.	
b Less accumulated amortization	8,500.	71,926.	19,253.	64,903.
13 Other assets (attach statement)	Statement 9	6,500.		6,500.
14 Total assets		4,428,532.		4,482,807.
Liabilities and Capital				
15 Accounts payable		1,472.		1,972.
16 Mortgages, notes, bonds payable in less than 1 year				
17 Other current liabilities (attach statement)	Statement 10	176,884.		178,842.
18 All nonrecourse loans		5,230,259.		5,129,558.
19a Loans from partners (or persons related to partners)		3,700.		4,700.
b Mortgages, notes, bonds payable in 1 year or more				
20 Other liabilities (attach statement)				
21 Partners' capital accounts		-983,783.		-832,265.
22 Total liabilities and capital		4,428,532.		4,482,807.

Schedule M-1 Reconciliation of Income (Loss) per Books With Income (Loss) per Return

Note: The partnership may be required to file Schedule M-3. See instructions.

1 Net income (loss) per books	237,153.	6 Income recorded on books this year not included on Schedule K, lines 1 through 11 (itemize):	
2 Income included on Schedule K, lines 1, 2, 3c, 5, 6a, 7, 8, 9a, 10, and 11, not recorded on books this year (itemize):		a Tax-exempt interest \$	
3 Guaranteed payments (other than health insurance)		Stmt 12	24,860.
4 Expenses recorded on books this year not included on Schedule K, lines 1 through 13d, and 16p (itemize):		7 Deductions included on Schedule K, lines 1 through 13d, and 16p, not charged against book income this year (itemize):	
a Depreciation \$		a Depreciation \$	
b Travel and entertainment \$		8 Add lines 6 and 7	24,860.
5 Add lines 1 through 4	237,153.	9 Income (loss) (Analysis of Net Income (Loss), line 1). Subtract line 8 from line 5	212,293.

Schedule M-2 Analysis of Partners' Capital Accounts

Stmt 7

1 Balance at beginning of year	-983,783.	6 Distributions: a Cash	114,365.
2 Capital contributed: a Cash	14,365.	b Property	
Stmt 13 b Property	14,365.	7 Other decreases (itemize):	
3 Net income (loss) per books	237,153.	8 Add lines 6 and 7	114,365.
4 Other increases (itemize):		9 Balance at end of year. Subtract line 8 from line 5	-832,265.
5 Add lines 1 through 4	-717,900.		

Rental Real Estate Income and Expenses of a Partnership or an S Corporation

▶ Attach to Form 1065 or Form 1120S.
▶ Go to www.irs.gov/Form8825 for the latest information.

OMB No. 1545-0123

Name	Grace Townhomes Housing, LLC	Employer identification number	47 5360069
------	------------------------------	--------------------------------	------------

1	Show the type and address of each property. For each rental real estate property listed, report the number of days rented at fair rental value and days with personal use. See instructions. See page 2 to list additional properties.			
	Physical address of each property - street, city, state, ZIP code	Type - Enter code 1-8; see page 2 for list	Fair Rental Days	Personal Use Days
A	1212 Grace Circle Ennis, TX 75119	2		
B				
C				
D				

		Properties			
		A	B	C	D
2	Gross rents	1,414,743.			
Rental Real Estate Expenses					
3	Advertising	8,426.			
4	Auto and travel	560.			
5	Cleaning and maintenance	26,738.			
6	Commissions	5,655.			
7	Insurance	102,757.			
8	Legal and other professional fees	844.			
9	Interest	218,137.			
10	Repairs	20,087.			
11	Taxes	121,613.			
12	Utilities	122,362.			
13	Wages and salaries	81,312.			
14	Depreciation (see instructions)	240,054.			
15	Other (list) ▶ Stmt 14	253,783.			
15					
15					
15					
16	Total expenses for each property. Add lines 3 through 15	1,202,328.			
17	Income or (Loss) from each property. Subtract line 16 from line 2	212,415.			

18a	Total gross rents. Add gross rents from line 2, columns A through H	18a	1,414,743.
b	Total expenses. Add total expenses from line 16, columns A through H	18b	(1,202,328.)
19	Net gain (loss) from Form 4797, Part II, line 17, from the disposition of property from rental real estate activities	19	
20a	Net income (loss) from rental real estate activities from partnerships, estates, and trusts in which this partnership or S corporation is a partner or beneficiary (from Schedule K-1)	20a	
b	Identify below the partnerships, estates, or trusts from which net income (loss) is shown on line 20a. Attach a schedule if more space is needed:		
(1) Name	(2) Employer identification number		
21	Net rental real estate income (loss). Combine lines 18a through 20a. Enter the result here and on:	21	212,415.
• Form 1065 or 1120S: Schedule K, line 2			

For Paperwork Reduction Act Notice, see instructions.

1	Show the type and address of each property. For each rental real estate property listed, report the number of days rented at fair rental value and days with personal use. See instructions.			
	Physical address of each property - street, city, state, ZIP code	Type - Enter code 1-8; see below for list	Fair Rental Days	Personal Use Days
E				
F				
G				
H				

		Properties			
		E	F	G	H
Rental Real Estate Income					
2	Gross rents	2			
Rental Real Estate Expenses					
3	Advertising	3			
4	Auto and travel	4			
5	Cleaning and maintenance	5			
6	Commissions	6			
7	Insurance	7			
8	Legal and other professional fees	8			
9	Interest	9			
10	Repairs	10			
11	Taxes	11			
12	Utilities	12			
13	Wages and salaries	13			
14	Depreciation (see instructions)	14			
15	Other (list) ▶	15			
					
					
16	Total expenses for each property. Add lines 3 through 15	16			
17	Income or (Loss) from each property. Subtract line 16 from line 2	17			

Allowable Codes for Type of Property

- 1 - Single Family Residence
- 2 - Multi-Family Residence
- 3 - Vacation or Short-Term Rental
- 4 - Commercial
- 5 - Land
- 6 - Royalties
- 7 - Self-Rental
- 8 - Other (include description with the code on Form 8825 or on a separate statement)

Depreciation and Amortization (Including Information on Listed Property)

▶ Attach to your tax return.

▶ Go to www.irs.gov/Form4562 for instructions and the latest information.

OMB No. 1545-0172

R-

1

2020
 Attachment
 Sequence No. **179**

Grace Townhomes Housing, LLC

Residential Rental

47-5360069

Part I Election To Expense Certain Property Under Section 179 Note: If you have any listed property, complete Part V before you complete Part I.

1	Maximum amount (see instructions)	1	
2	Total cost of section 179 property placed in service (see instructions)	2	
3	Threshold cost of section 179 property before reduction in limitation	3	
4	Reduction in limitation. Subtract line 3 from line 2. If zero or less, enter -0-	4	
5	Dollar limitation for tax year. Subtract line 4 from line 1. If zero or less, enter -0-. If married filing separately, see instructions	5	
6	(a) Description of property	(b) Cost (business use only)	(c) Elected cost
7	Listed property. Enter the amount from line 29	7	
8	Total elected cost of section 179 property. Add amounts in column (c), lines 6 and 7	8	
9	Tentative deduction. Enter the smaller of line 5 or line 8	9	
10	Carryover of disallowed deduction from line 13 of your 2019 Form 4562	10	
11	Business income limitation. Enter the smaller of business income (not less than zero) or line 5	11	
12	Section 179 expense deduction. Add lines 9 and 10, but don't enter more than line 11	12	
13	Carryover of disallowed deduction to 2021. Add lines 9 and 10, less line 12	13	

Note: Don't use Part II or Part III below for listed property. Instead, use Part V.

Part II Special Depreciation Allowance and Other Depreciation (Don't include listed property.)

14	Special depreciation allowance for qualified property (other than listed property) placed in service during the tax year	14	
15	Property subject to section 168(f)(1) election	15	
16	Other depreciation (including ACRS)	16	

Part III MACRS Depreciation (Don't include listed property. See instructions.)

Section A

17	MACRS deductions for assets placed in service in tax years beginning before 2020	17	240,054.
18	If you are electing to group any assets placed in service during the tax year into one or more general asset accounts, check here		

Section B - Assets Placed in Service During 2020 Tax Year Using the General Depreciation System

(a) Classification of property	(b) Month and year placed in service	(c) Basis for depreciation (business/investment use only - see instructions)	(d) Recovery period	(e) Convention	(f) Method	(g) Depreciation deduction
19a 3-year property						
b 5-year property						
c 7-year property						
d 10-year property						
e 15-year property		1,209.	15 Yrs.	HY	150DB	60.
f 20-year property						
g 25-year property			25 yrs.		S/L	
h Residential rental property	1 / 20	12,841.	27.5 yrs.	MM	S/L	448.
	/		27.5 yrs.	MM	S/L	
i Nonresidential real property	/		39 yrs.	MM	S/L	
	/			MM	S/L	

Section C - Assets Placed in Service During 2020 Tax Year Using the Alternative Depreciation System

20a Class life					S/L	
b 12-year			12 yrs.		S/L	
c 30-year	/		30 yrs.	MM	S/L	
d 40-year	/		40 yrs.	MM	S/L	

Part IV Summary (See instructions.)

21	Listed property. Enter amount from line 28	21	
22	Total. Add amounts from line 12, lines 14 through 17, lines 19 and 20 in column (g), and line 21. Enter here and on the appropriate lines of your return. Partnerships and S corporations - see instr.	22	240,562.
23	For assets shown above and placed in service during the current year, enter the portion of the basis attributable to section 263A costs	23	

Part V Listed Property (Include automobiles, certain other vehicles, certain aircraft, and property used for entertainment, recreation, or amusement.)

Note: For any vehicle for which you are using the standard mileage rate or deducting lease expense, complete **only** 24a, 24b, columns (a) through (c) of Section A, all of Section B, and Section C if applicable.

Section A - Depreciation and Other Information (Caution: See the instructions for limits for passenger automobiles.)

24a Do you have evidence to support the business/investment use claimed? ☐ **Yes** ☐ **No** **24b** If "Yes," is the evidence written? ☐ **Yes** ☐ **No**

(a) Type of property (list vehicles first)	(b) Date placed in service	(c) Business/ investment use percentage	(d) Cost or other basis	(e) Basis for depreciation (business/investment use only)	(f) Recovery period	(g) Method/ Convention	(h) Depreciation deduction	(i) Elected section 179 cost
--	-------------------------------------	--	-------------------------------	--	---------------------------	------------------------------	----------------------------------	---------------------------------------

25 Special depreciation allowance for qualified listed property placed in service during the tax year and used more than 50% in a qualified business use **25**

26 Property used more than 50% in a qualified business use:

	:	:	%					
	:	:	%					
	:	:	%					

27 Property used 50% or less in a qualified business use:

	:	:	%			S/L -		
	:	:	%			S/L -		
	:	:	%			S/L -		

28 Add amounts in column (h), lines 25 through 27. Enter here and on line 21, page 1 **28**

29 Add amounts in column (i), line 26. Enter here and on line 7, page 1 **29**

Section B - Information on Use of Vehicles

Complete this section for vehicles used by a sole proprietor, partner, or other "more than 5% owner," or related person. If you provided vehicles to your employees, first answer the questions in Section C to see if you meet an exception to completing this section for those vehicles.

	(a) Vehicle	(b) Vehicle	(c) Vehicle	(d) Vehicle	(e) Vehicle	(f) Vehicle
30 Total business/investment miles driven during the year (don't include commuting miles)						
31 Total commuting miles driven during the year ...						
32 Total other personal (noncommuting) miles driven						
33 Total miles driven during the year. Add lines 30 through 32						
34 Was the vehicle available for personal use during off-duty hours?	Yes	No	Yes	No	Yes	No
35 Was the vehicle used primarily by a more than 5% owner or related person?						
36 Is another vehicle available for personal use?						

Section C - Questions for Employers Who Provide Vehicles for Use by Their Employees

Answer these questions to determine if you meet an exception to completing Section B for vehicles used by employees who aren't more than 5% owners or related persons.

37 Do you maintain a written policy statement that prohibits all personal use of vehicles, including commuting, by your employees?	Yes	No
38 Do you maintain a written policy statement that prohibits personal use of vehicles, except commuting, by your employees? See the instructions for vehicles used by corporate officers, directors, or 1% or more owners		
39 Do you treat all use of vehicles by employees as personal use?		
40 Do you provide more than five vehicles to your employees, obtain information from your employees about the use of the vehicles, and retain the information received?		
41 Do you meet the requirements concerning qualified automobile demonstration use?		

Note: If your answer to 37, 38, 39, 40, or 41 is "Yes," don't complete Section B for the covered vehicles.

Part VI Amortization

(a) Description of costs	(b) Date amortization begins	(c) Amortizable amount	(d) Code section	(e) Amortization period or percentage	(f) Amortization for this year
-----------------------------	------------------------------------	------------------------------	------------------------	---	--------------------------------------

42 Amortization of costs that begins during your 2020 tax year:

	:	:			
	:	:			

43 Amortization of costs that began before your 2020 tax year **43** 10,753.

44 Total. Add amounts in column (f). See the instructions for where to report **44** 10,753.

2020 DEPRECIATION AND AMORTIZATION REPORT

Residential Rental

R- 1

Asset No.	Description	Date Acquired	Method	Life	C o n v	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
11	LAND - 754 TMMF	01/01/20	L				315.				315.			0.	
12	LAND IMPROVEMENTS - 754 TMMF	01/01/20	150DB	15.00	HY19E		1,209.				1,209.			60.	60.
13	BUILDING - 754 TMMF	01/01/20	SL	27.50	MM19H		12,841.				12,841.			448.	448.
2	Land	12/17/15	L				100,000.				100,000.			0.	
	* Rental Total -						114,365.				114,365.	0.		508.	508.
3	Land Improvements	12/17/15	150DB	15.00	MQ17		384,403.				384,403.	132,183.		24,909.	157,092.
	* Rental Total -						384,403.				384,403.	132,183.		24,909.	157,092.
1	Building	12/17/15	SL	27.50	MM17		4,074,676.				4,074,676.	598,839.		148,170.	747,009.
5	Building	01/14/16	SL	27.50	MM17		7,421.				7,421.	1,069.		270.	1,339.
	* Rental Total -						4,082,097.				4,082,097.	599,908.		148,440.	748,348.
4	Equipment	12/17/15	200DB	5.00	MQ17		696,299.				696,299.	606,384.		66,705.	673,089.
9	Equipment	12/14/18	200DB	5.00	MQ17		12,872.			12,872.				0.	
	* Rental Total -						709,171.			12,872.	696,299.	606,384.		66,705.	673,089.
6	Organization Costs	12/17/15	709	180M	43		9,660.				9,660.	2,603.		644.	3,247.
8	Def Mortgage Costs	05/19/16	461	120M	43		104,056.				104,056.	104,056.		0.	104,056.
10	Loan Fees	05/16/19	461	84M	43		70,766.				70,766.	5,897.		10,109.	16,006.
	* Rental Total -						184,482.				184,482.	112,556.		10,753.	123,309.
	* Grand Total Rental Depr & Amort						5,474,518.			12,872.	5,461,646.	1,451,031.		251,315.	1,702,346.

028111 04-01-20

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

Residential Rental

 R^{-1}

028111 04-01-20

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

Reportable Transaction Disclosure Statement

OMB No. 1545-1800

▶ **Attach to your tax return.**

▶ **See separate instructions.**

Attachment
Sequence No. **137**

▶ **Go to www.irs.gov/Form8886 for instructions and the latest information.**

Name(s) shown on return (individuals enter last name, first name, middle initial)

Identifying number

Grace Townhomes Housing, LLC

47-5360069

Number, street, and room or suite no.

91-31 Queens Boulevard, Suite 512

City or town, state, and ZIP code

Elmhurst, NY 11373

A If you are filing more than one Form 8886 with your tax return, sequentially number each Form 8886 and enter the statement number for this Form 8886 ▶ Statement number of

B Enter the form number of the tax return to which this form is attached or related ▶ **Form 1065**

Enter the year of the tax return identified above ▶ **2020**

Is this Form 8886 being filed with an amended tax return? ☐ Yes ☒ No

C Check the box(es) that apply. See instructions. ☐ Initial year filer ☒ Protective disclosure

1a Name of reportable transaction

SECTION 831(b) MICRO-CAPTIVE TRANSACTION

1b Initial year participated in transaction

2017

1c Reportable transaction or tax shelter registration number

MA1711080

2 Identify the type of reportable transaction. Check all boxes that apply. See instructions.

a ☐ Listed **c** ☐ Contractual protection **e** ☒ Transaction of interest
b ☐ Confidential **d** ☐ Loss

3 If you checked box 2a or 2e, enter the published guidance number for the listed transaction or transaction of interest

▶ **NOTICE 2016-66**

4 Enter the number of "same as or substantially similar" transactions reported on this form ▶ **1**

5 If you participated in this reportable transaction through a partnership, S corporation, trust, and foreign entity, check the applicable boxes and provide the information below for the entity(ies). See instructions. (Attach additional sheets, if necessary.)

a Type of entity ☐ Partnership ☐ Trust ☐ Partnership ☐ Trust
☐ S corporation ☐ Foreign ☐ S corporation ☐ Foreign

b Name

▶

c Employer identification number (EIN), if known ▶

d Date Schedule K-1 received from entity (enter

"none" if Schedule K-1 not received) ▶

6 Enter below the name and address of each individual or entity to whom you paid a fee with regard to the transaction if that individual or entity promoted, solicited, or recommended your participation in the transaction, or provided tax advice related to the transaction. (Attach additional sheets, if necessary.)

a Name	Identifying number (if known)	Fees paid
ACTIVE CAPTIVE MANAGEMENT	20-2312437	\$ 28,656.

Number, street, and room or suite no.

24422 AVENIDA DE LA CARLOTA, SUITE 400

City or town, State, and ZIP code

LAGUNA HILLS, CA 92653

b Name	Identifying number (if known)	Fees paid
		\$

Number, street, and room or suite no.

City or town, State, and ZIP code

7 Facts

a Identify the type of tax benefit generated by the transaction. Check all the boxes that apply. See instructions.

- ☒ Deductions ☐ Exclusions from gross income ☐ Absence of adjustments to basis ☐ Tax credits
☐ Capital loss ☐ Nonrecognition of gain ☐ Deferral
☐ Ordinary loss ☐ Adjustments to basis ☐ Other _____

b Enter the total dollar amount of your tax benefits identified in 7a. See instructions \$ _____

c Enter the anticipated number of years the transaction provides the tax benefits stated in 7b. See instructions _____

d Enter your total investment or basis in the transaction. See instructions \$ _____

e Further describe the amount and nature of the expected tax treatment and expected tax benefits generated by the transaction for all affected years. Include facts of each step of the transaction that relate to the expected tax benefits including the amount and nature of your investment. Include in your description your participation in the transaction and all related transactions regardless of the year in which they were entered into. Also, include a description of any tax result protection with respect to the transaction.

See Statement 16

8 Identify all individuals and entities involved in the transaction that are tax-exempt, foreign, or related. Check the appropriate box(es). See instructions. Include their name(s), identifying number(s), address(es), and a brief description of their involvement. For each foreign entity, identify its country of incorporation or existence. For each individual or related entity, explain how the individual or entity is related. Attach additional sheets, if necessary.

a Type of individual or entity: ☐ Tax-exempt ☐ Foreign ☒ Related

Name	Identifying number
Century Risk Insurance Company	82-3663848

Address 314 N. Last Chance Gulch, Suite 301
Helena, MT 59601

Description

CAPTIVE INSURANCE COMPANY

b Type of individual or entity: ☐ Tax-exempt ☐ Foreign ☐ Related

Name	Identifying number
See Attached Statement Continuation of Line 8	

Address

Description

Worksheet for Adjusted Current Earnings Adjustments

Name of partnership		Employer identification number
Grace Townhomes Housing, LLC		47-5360069
1. Additions to AMTI:		
a. Depreciation recomputed for AMT purposes	277,734.	
b. Tax-exempt interest income		
c. Amortization of IRC 173		
d. Depletion for post-1989 properties		
e. Intangible drilling costs deducted from AMTI		
f. Total additions to AMTI		277,734.
2. Deductions:		
a. Depreciation recomputed for ACE purposes	277,734.	
b. Depletion recomputed for ACE purposes		
c. ACE intangible drilling costs		
d. Total deductions		277,734.
3. Other adjustments:		
a. Basis adjustments from sales or exchanges		
b. Other adjustments		
c. Total other adjustments		
4. Total adjustments to AMTI for ACE calculation. Combine lines 1f, 2d and 3c		0.

Election to Adjust the Basis of Partnership Property
Under Internal Revenue Code Section 754

Grace Townhomes Housing, LLC
91-31 Queens Boulevard, Suite 512
Elmhurst, NY 11373

Employer Identification Number: 47-5360069

For the Year Ending December 31, 2020

Grace Townhomes Housing, LLC hereby elects, pursuant to IRC Sec. 754 and Reg. Sec. 1.754-1(b)(1), to apply the provisions of IRC Secs. 734(b) and 743(b) to adjust the basis of partnership property as provided by IRC Sec. 755. The election is effective beginning with the tax year ended December 31, 2020, and applicable to all subsequent years.

Section 1.263(a)-1(f) De Minimis Safe Harbor Election

Grace Townhomes Housing, LLC
91-31 Queens Boulevard, Suite 512
Elmhurst, NY 11373

Employer Identification Number: 47-5360069

For the Year Ending December 31, 2020

Grace Townhomes Housing, LLC is making the de minimis safe harbor election under Reg. Sec. 1.263(a)-1(f).

Footnotes

Statement 1

ELECTION TO ADOPT THE RECURRING ITEM EXCEPTON

The Taxpayer hereby elects to adopt the Recurring Item Exception for all expense items pursuant to Internal Revenue Code Section 461(h) and Treasury Regulation 1.461-5(d).

ELECTION TO RATABLELY ACCRUE REAL PROPERTY TAXES

UNDER CODE SECTION 461(c) AND REG 1.461-1(c)(3)(i) TAXPAYER HEREBY ELECTS TO THE RATABLE ACCRUAL OF REAL PROPERTY TAXES WITH RESPECT TO ALL PROPERTY TAXES.

Schedule K	Net Income (Loss) from Rental Real Estate	Statement	2
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Description	Amount
Multi-family residence - Residential Rental	212,415.
Total to Schedule K, Line 2	212,415.

Schedule K	Interest Income	Statement	3
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Description	U.S. Bonds	Other
Escrow Account		386.
Total to Schedule K, Line 5		386.

Schedule K	Other Deductions	Statement	4
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Description	Amount
Section 754 depreciation - rental real estate	508.
Total included in Schedule K, Line 13d	508.

Schedule K	Other Tax-Exempt Income	Statement	5
Description		Amount	
PPP SBA LOAN FORGIVENESS		24,860.	
Total to Schedule K, Line 18b		24,860.	

Schedule K	Other Items	Statement	6
Description		Amount	
Section 199A - Rental income (loss)		212,415.	
Section 199A - Other deductions		508.	
Section 199A W-2 Wages		81,312.	
Section 199A Unadjusted basis of assets		5,189,721.	
Business interest expense		218,137.	

Schedule M-2	Distributions	Statement	7
Description		Amount	
Transferred capital		14,365.	
Cash withdrawals		100,000.	
Total to Schedule M-2, Line 6a		114,365.	

Schedule L	Other Current Assets	Statement	8
Description	Beginning of Tax Year	End of Tax Year	
Insurance Escrow	41,368.	56,847.	
Prepaid Insurance	16,151.	16,151.	
Replacement Reserve Escrow	118,127.	151,928.	
Tax Escrow	127,864.	125,128.	
Total to Schedule L, Line 6	303,510.	350,054.	

Schedule L	Other Assets	Statement	9
Description	Beginning of Tax Year	End of Tax Year	
Deposits	6,500.	6,500.	
Total to Schedule L, Line 13	6,500.	6,500.	

Schedule L	Other Current Liabilities	Statement	10
Description	Beginning of Tax Year	End of Tax Year	
Franchise Tax Payable	1,946.	1,946.	
Property Taxes Payable	127,864.	127,864.	
Security Deposits Payable	47,074.	49,032.	
Total to Schedule L, Line 17	176,884.	178,842.	

Form 1065	Partners' Capital Account Summary				Statement	11
Partner Number	Beginning Capital	Capital Contributed	Schedule M-2 Lns 3, 4 & 7	With-drawals	Ending Capital	
1	-13,365.	14,365.	0.	1,000.	0.	
2	-295,716.		74,411.	31,300.	-252,605.	
3	-138,084.		32,916.	13,850.	-119,018.	
4	-61,224.		14,616.	6,150.	-52,758.	
5	-61,440.		14,629.	6,160.	-52,971.	
6	-61,224.		14,616.	6,150.	-52,758.	
7	-168,794.		40,224.	16,930.	-145,500.	
8	-91,969.		21,937.	9,230.	-79,262.	
9	-91,967.		21,935.	9,230.	-79,262.	
10	0.	14,365.	1,869.	14,365.	1,869.	
Total	-983,783.	28,730.	237,153.	114,365.	-832,265.	

Schedule M-1	Income Recorded on Books Not Included on Return	Statement	12
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Description	Amount
PPP SBA LOAN FORGIVENESS	24,860.
Total to Schedule M-1, Line 6	24,860.

Schedule M-2	Contributions	Statement	13
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Description	Amount
Transferred capital	14,365.
Contributions to capital	14,365.
Total to Schedule M-2, Line 2	28,730.

Other Rental Expenses	Statement	14
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Multi-family residence

Property: Residential Rental

Location: 1212 Grace Circle, Ennis, TX 75119

Description	Amount
Accounting Fees	2,975.
Computer Expense	1,424.
Payroll Taxes	6,983.
Landscaping Maintenance	27,000.
Licenses, Permits & Fees	3,579.
Management Fees	81,142.
Office Expense & Supplies	16,650.
Pest Control	1,894.
Plumbing	4,245.
Postage & Delivery	283.
Replacements	3,247.
Security Service	515.
Supplies & Hardware	55,462.
Telephone	1,289.
Trash Removal	20,803.
Professional Fees	15,539.
Amortization	10,753.
Total to Rental Schedule, Line 15	253,783.

Gross Rental Income Statement 15

Multi-family residence

Property: Residential Rental
Location: 1212 Grace Circle, Ennis, TX 75119

Description	Amount
Gross rental income	1,373,771.
Security Deposit Forfeiture	15,617.
Laundry Income & Misc.	25,355.
Total to Rental Schedule, Line 2	1,414,743.

Form 8886

Statement 16

The Taxpayer purchased an insurance contract and deducted the premiums paid in accordance with IRC Section 162. The insurance contract was purchased from an insurance company that made a Section 831(b) Election in 2017. The premiums deducted by the insured entity for insurance contracts from 2017 to 2020 were \$15,757, \$11,598, \$8,479 & \$12,472, respectively, which flowed through to the insured owner(s) in whole or part. There was no tax results protection.

ADDITIONAL INFORMATION REQUIRED BY NOTICE 2016-66, SECTION 3.05

(a) GENERAL RULE - THE CAPTIVE WAS FORMED TO INSURE RISKS OF RELATED BUSINESSES. THE INSURED ENTITY PAYS PREMIUMS FOR PROPERTY AND CASUALTY-TYPE COVERAGES. DURING ITS INITIAL TAX YEAR, THE CAPTIVE MADE AN ELECTION PURSUANT TO IRC SECTION 831(b) TO BE TAXED ON ITS TAXABLE INVESTMENT INCOME UNDER IRC SECTION 11(b). THE INSURANCE PREMIUMS INCURRED BY THE INSURED PARTIES ARE DEDUCTED AS AN ORDINARY BUSINESS EXPENSE PURSUANT TO IRC SECTION 162. THE TAXPAYER'S PREMIUM INCURRED ARE LISTED ON LINE 7 OF THIS FORM 8886. THE OWNERS OF THE TAXPAYER AND THE CAPTIVE AND ITS OWNER(S) ARE REPORTED ON LINE 8 OF THIS FORM 8886. PLEASE REFER TO THE FORM 8886 FILED BY THE CAPTIVE FOR A COMPLETE LIST OF INSURED ENTITIES. THERE WAS NO TAX RESULT PROTECTION.

(b) INFORMATION REQUIRED OF ALL PARTICIPANTS - DURING 2017 THE OWNERS OF THE CAPTIVE WERE INTRODUCED TO THEIR CAPTIVE MANAGER BY THEIR PROFESSIONAL ADVISORS IN AN EFFORT TO ADDRESS THEIR VARIOUS RISK MANAGEMENT AND INSURANCE NEEDS. PRIOR TO ENTERING INTO THE ARRANGEMENT, THE CAPTIVE'S INSURED HAD STATISTICALLY INDEPENDENT RISKS FOR WHICH IT COULD NOT OBTAIN COMMERCIAL MARKET COVERAGE AND FOR WHICH IT WAS SELF-INSURING. THE CAPTIVE ARRANGEMENT PROVIDES INSURANCE TO THE INSURED TO COVER THESE RISKS, TO MEET RISK MANAGEMENT CONCERNS, AND TO FACILITATE A COMPREHENSIVE RISK MANAGEMENT PROGRAM FOR THE INSURED. THE CAPTIVE HELPS TO INCREASE ACCOUNTABILITY AND TRANSPARENCY OF ALL RISK MANAGEMENT AND INSURANCE RELATED OPERATIONS, FOSTERS AND FACILITATES A MORE INSURED FRIENDLY CLAIMS PROCESS THAN THE COMMERCIAL MARKET TYPICALLY AFFORDS, AND SIGNIFICANTLY REDUCES OVERALL RISK MANAGEMENT COSTS OF THE INSURED. THE TAXPAYERS INVOLVED WITH THE CAPTIVE DESIRED THAT THE CAPTIVE BE FORMED FOR THESE REASONS AND FIRST BECAME AWARE OF THE NEED FOR A CAPTIVE WHEN THEY HAD PROBLEMS SECURING ADEQUATE OR COST EFFECTIVE COMMERCIAL COVERAGES, WANTED TO MINIMIZE SELF-INSURANCE, OR WANTED TO HAVE MORE DIRECT ABILITY AND FLEXIBILITY TO MANAGE CLAIMS.

ALTERNATIVE MINIMUM TAX DEPRECIATION REPORT

[illegible]

Schedule K-1
(Form 1065)Department of the Treasury
Internal Revenue Service

2020

For calendar year 2020, or tax year

☒ Final K-1☐ Amended K-1

OMB No. 1545-0123

beginning

ending

Partner's Share of Income, Deductions,
Credits, etc.

▶ See separate instructions.

Part I Information About the Partnership

A Partnership's employer identification number

47-5360069

B Partnership's name, address, city, state, and ZIP code

Grace Townhomes Housing, LLC
91-31 Queens Boulevard, Suite 512
Elmhurst, NY 11373

C IRS Center where partnership filed return ▶

E-File

D ☐ Check if this is a publicly traded partnership (PTP)

Part II Information About the Partner

F Name, address, city, state, and ZIP code for partner entered in E. See instructions.

Affordable Rent Project Inc
c/o Caldwell Law
4500 Park Granada, Suite 201
Calabasas, CA 91302G ☒ General partner or LLC
member-manager☐ Limited partner or other LLC
memberH1 ☒ Domestic partner☐ Foreign partnerH2 ☐ If the partner is a disregarded entity (DE), enter the partner's:

TIN _____ Name _____

I1 What type of entity is this partner? **Exempt Organization**I2 If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here ☐

J Partner's share of profit, loss, and capital:

	Beginning	Ending
Profit	1.0000000%	1.0000000%
Loss	1.0000000%	1.0000000%
Capital	1.0000000%	1.0000000%

Check if decrease is due to sale or exchange of partnership interest ☐

K Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	\$ 1,821.	\$ 0.
Qualified nonrecourse financing	\$ 52,303.	\$ 0.
Recourse	\$ 3,700.	\$ 0.

☐ Check this box if Item K includes liability amounts from lower tier partnerships.L Partner's Capital Account Analysis
See Statement

Beginning capital account	\$ -13,365.
Capital contributed during the year	\$ 14,365.
Current year net income (loss)	\$ 0.
Other increase (decrease) (attach explanation)	\$
Withdrawals & distributions	\$ (1,000.)
Ending capital account	\$ 0.

M Did the partner contribute property with a built-in gain or loss?

☐ Yes ☒ No If "Yes," attach statement. See instructions.

N Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)

Beginning	\$
Ending	\$

Part III Partner's Share of Current Year Income,
Deductions, Credits, and Other Items

1 Ordinary business income (loss)	15 Credits
0.	
2 Net rental real estate income (loss)	16 Foreign transactions
3 Other net rental income (loss)	
4a Guaranteed payments for services	
4b Guaranteed payments for capital	
4c Total guaranteed payments	
5 Interest income	17 Alternative min tax (AMT) items
6a Ordinary dividends	18 Tax-exempt income and nondeductible expenses
6b Qualified dividends	
6c Dividend equivalents	
7 Royalties	19 Distributions
	A 1,000.
8 Net short-term capital gain (loss)	20 Other information
9a Net long-term capital gain (loss)	
9b Collectibles (28%) gain (loss)	
9c Unrecaptured section 1250 gain	
10 Net section 1231 gain (loss)	
11 Other income (loss)	
12 Section 179 deduction	
13 Other deductions	
14 Self-employment earnings (loss)	
21 ☐ More than one activity for at-risk purposes*	
22 ☐ More than one activity for passive activity purposes*	

*See attached statement for additional information.

For IRS Use Only

Schedule K-1	Capital Contributed During the Year
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Description	Amount
Transferred capital	14,365.
Total to Schedule K-1, Item L, Capital Contributed	14,365.

Schedule K-1	Item L - Reconciliation
--------------	-------------------------

Description	Amount
Total Income (Loss) Per Schedule K-1	0.
Transfer of Interest In	0.
Transfer of Interest Out	14,365.
Total of Net Income(Loss) and Other Increase(Decrease)	14,365.

Schedule K-1	Item L. Partner's Capital Account Analysis
--------------	--

Beginning capital account method used - Tax Basis

Schedule K-1
(Form 1065)Department of the Treasury
Internal Revenue Service

2020

For calendar year 2020, or tax year

☐ Final K-1☐ Amended K-1

OMB No. 1545-0123

beginning

ending

Partner's Share of Income, Deductions,
Credits, etc.

▶ See separate instructions.

Part I Information About the Partnership

A Partnership's employer identification number

47-5360069

B Partnership's name, address, city, state, and ZIP code

Grace Townhomes Housing, LLC
91-31 Queens Boulevard, Suite 512
Elmhurst, NY 11373

C IRS Center where partnership filed return ▶

E-File

D ☐ Check if this is a publicly traded partnership (PTP)

Part II Information About the Partner

TIN (Do not use TIN of a disregarded entity. See instructions.)

20

F Name, address, city, state, and ZIP code for partner entered in E. See instructions.

Marc & Ellie Menowitz Family Trust
737 S Genesee Avenue
Los Angeles, CA 90036G ☐ General partner or LLC
member-manager☒ Limited partner or other LLC
memberH1 ☒ Domestic partner☐ Foreign partnerH2 ☐ If the partner is a disregarded entity (DE), enter the partner's:

TIN _____ Name _____

I1 What type of entity is this partner? Trust

I2 If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here ☐

J Partner's share of profit, loss, and capital:

	Beginning	Ending
Profit	31.3096670%	31.3096670%
Loss	31.3096670%	31.3096670%
Capital	31.3096670%	31.3096670%

Check if decrease is due to sale or exchange of partnership interest ☐

K Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	\$ 57,001.	\$ 58,084.
Qualified nonrecourse financing	\$ 1,637,576.	\$ 1,606,048.
Recourse	\$ 0.	\$ 0.

☐ Check this box if Item K includes liability amounts from lower tier partnerships.L Partner's Capital Account Analysis
See Statement

Beginning capital account	\$ -295,716.
Capital contributed during the year	\$
Current year net income (loss)	\$ 74,411.
Other increase (decrease) (attach explanation)	\$
Withdrawals & distributions	\$ (31,300.)
Ending capital account	\$ -252,605.

M Did the partner contribute property with a built-in gain or loss?

☐ Yes ☒ No If "Yes," attach statement. See instructions.

N Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)

Beginning	\$
Ending	\$

Part III Partner's Share of Current Year Income,
Deductions, Credits, and Other Items

1 Ordinary business income (loss)	0.	15 Credits	
2 Net rental real estate income (loss)	66,506.	16 Foreign transactions	
3 Other net rental income (loss)			
4a Guaranteed payments for services			
4b Guaranteed payments for capital			
4c Total guaranteed payments			
5 Interest income	121.	17 Alternative min tax (AMT) items	A -11,638.
6a Ordinary dividends		18 Tax-exempt income and nondeductible expenses	B* 7,784.
6b Qualified dividends			
6c Dividend equivalents			
7 Royalties		19 Distributions	A 31,300.
8 Net short-term capital gain (loss)		20 Other information	
9a Net long-term capital gain (loss)		A 121.	
9b Collectibles (28%) gain (loss)		N* 68,298.	
9c Unrecaptured section 1250 gain		Z* STMT	
10 Net section 1231 gain (loss)			
11 Other income (loss)			
12 Section 179 deduction			
13 Other deductions			
14 Self-employment earnings (loss)	A 0.		
21 ☐ More than one activity for at-risk purposes*			
22 ☐ More than one activity for passive activity purposes*			

*See attached statement for additional information.

For IRS Use Only